

- RAG Learning

3.5 Assessing Competitiveness

Business — Edexcel (9BS0) — Theme 3: Business decisions and strategy

How do we know whether a business is competitive? This topic gives two lenses. The **financial** lens reads the two main financial statements and turns them into ratios, of which the specification names **gearing** and **return on capital employed (ROCE)** for calculation in Theme 3 (profitability and liquidity ratios from Theme 2 are used alongside them). The **human resources** lens measures how effectively the workforce is used — productivity, turnover, retention and absenteeism — and asks which HR strategies improve them. A ratio on its own proves little; what earns marks is interpreting it against a comparison and turning it into a decision.

Statement of comprehensive income (income statement; profit and loss account) — shows a firm's revenue, costs and profit over a period, usually a year.

Statement of financial position (balance sheet) — shows a firm's assets, liabilities and equity at a single point in time.

Capital employed — the long-term finance used by the business: non-current liabilities + total equity.

Gearing — the proportion of capital employed that is financed by long-term debt (non-current liabilities).

ROCE — operating profit as a percentage of capital employed; measures how efficiently long-term capital generates profit.

Labour productivity — output per worker per period.

Labour turnover — the percentage of the workforce leaving during a period.

Retention rate — the percentage of employees who stay with the business over a period.

Absenteeism — the percentage of working days lost through staff absence.

1. Interpretation of financial statements (3.5.1)

Statement of comprehensive income (profit and loss account)

Worked example — Brightline Ltd, year ended 31 March 2025 (£000)

Item	£000	Notes
Revenue	12,000	Sales income: price × quantity sold
– Cost of sales	(7,200)	Direct costs of the goods sold: materials, direct labour
= Gross profit	4,800	Gross profit margin = $4,800 \div 12,000 \times 100 = 40.0\%$
– Other operating expenses	(3,300)	Overheads: rent, salaries, marketing, depreciation
= Operating profit	1,500	Operating profit margin = $1,500 \div 12,000 \times 100 = 12.5\%$
– Interest	(200)	Cost of borrowing
= Profit for the year (net profit)	1,300	Net profit margin = $1,300 \div 12,000 \times 100 = 10.83\%$

Key information: revenue growth; how well direct costs are controlled (gross margin); how well overheads are controlled (operating margin); the burden of interest; profit available for dividends and reinvestment.

Statement of financial position (balance sheet)

Brightline Ltd at 31 March 2025 (£000)

Item	£000
Non-current assets (property, machinery, vehicles)	9,000
Current assets: inventory 1,200; receivables 800; cash 400	2,400

– Current liabilities (payables, overdraft — due within one year)	(1,600)
– Non-current liabilities (long-term loans, bonds, mortgages)	(3,000)
= Net assets	6,800
Share capital	2,000
Retained profit (reserves)	4,800
= Total equity	6,800

Net assets always equal total equity. **Capital employed = non-current liabilities + total equity = 3,000 + 6,800 = £9,800,000.**

Key information: what the business owns and owes; how it is financed (debt vs equity); its liquidity (current assets vs current liabilities); working capital ($2,400 - 1,600 = £800,000$); retained profit available for reinvestment.

Stakeholder interest in the statements

Stakeholder	Main interest	Looks at
Shareholders / potential investors	Returns and growth	Profit for the year, margins, ROCE, dividends, retained profit
Lenders (banks, bondholders)	Ability to pay interest and repay	Gearing, operating profit relative to interest, non-current assets as security
Suppliers	Will they be paid on time?	Current and acid test ratios, cash
Employees and trade unions	Job security, scope for pay rises	Profit trends, cash reserves
Managers	Performance, control of costs, planning	All ratios compared with targets and rivals
Government / HMRC	Tax liability, compliance	Profit

Competitors	Benchmarking	Margins, ROCE
-------------	--------------	---------------

2. Ratio analysis (3.5.2)

Gearing ratio

$$\text{Gearing (\%)} = \text{non-current liabilities} \div \text{capital employed} \times 100$$

Brightline: $3,000 \div 9,800 \times 100 = \mathbf{30.61\%}$

Gearing	Interpretation
Below 25%	Low gearing — financed mostly by equity; low interest burden; may have unused borrowing capacity (could the firm grow faster by borrowing?)
25%–50%	Generally regarded as acceptable / moderate
Above 50%	Highly geared — heavy interest commitments; vulnerable to rising interest rates and falling profits; lenders may refuse further loans

High gearing is not automatically bad. If ROCE exceeds the interest rate on borrowing, debt magnifies returns to shareholders; interest is tax-deductible; and owners keep control (no new shares issued). It is risky when profits are volatile or interest rates rise — as many leveraged firms found when Bank Rate rose from 0.1% (2021) to 5.25% (2023). In the June 2024 Paper 2, the mark scheme calculated a firm's gearing as $0.31 \div 15.31 \times 100 = 2.02\%$ and argued it could therefore borrow easily to fund expansion.

Return on Capital Employed (ROCE)

$$\text{ROCE (\%)} = \text{operating profit} \div \text{capital employed} \times 100$$

Brightline: $1,500 \div 9,800 \times 100 = \mathbf{15.31\%}$

ROCE is the key measure of overall performance: it shows the return generated on every pound of long-term finance. Compare it with:

- the firm's previous years (trend),
- competitors and the industry average,
- the interest rate on savings or borrowing (the opportunity cost of capital) — a ROCE of 15.31% comfortably exceeds a bank savings rate of, say, 4%.

Improving ROCE: increase operating profit (raise prices, cut costs, increase sales) or reduce capital employed (sell under-used assets, lease rather than buy, repay debt from surplus cash).

Supporting ratios from Theme 2 (Appendix 4)

Ratio	Formula	Brightline	Interpretation
Gross profit margin	Gross profit ÷ revenue × 100	40.00%	Control of direct costs and pricing power
Operating profit margin	Operating profit ÷ revenue × 100	12.50%	Control of all operating costs
Net profit margin	Profit for the year ÷ revenue × 100	10.83%	Profitability after interest
Current ratio	Current assets ÷ current liabilities	2,400 ÷ 1,600 = 1.5:1	Ideal range often quoted as 1.5–2:1; Brightline can meet short-term debts
Acid test ratio	(Current assets – inventory) ÷ current liabilities	1,200 ÷ 1,600 = 0.75:1	Below the 1:1 benchmark — relies on selling stock to pay debts; normal in retail, risky elsewhere

Interpreting ratios to make business decisions

Ratios are used to decide: whether to invest in or lend to a firm; how to finance expansion (a low-gearred firm may borrow; a highly-gearred firm may issue shares or use retained profit); whether to cut costs or raise prices (margin analysis); which divisions or stores to close (low ROCE); whether to take on a takeover target; and whether the firm can afford to pay a dividend.

Worked decision: Brightline wants £2m for a new factory. If borrowed, non-current liabilities rise to £5m and capital employed to £11.8m: gearing = $5,000 \div 11,800 \times 100 = 42.37\%$. Still below

50%, and ROCE (15.31%) is well above likely borrowing costs, so a loan looks affordable — *provided* the factory generates profit reasonably quickly and interest rates stay stable. If sales are volatile, a share issue would avoid the added fixed interest cost.

Limitations of ratio analysis

- **Historical** — ratios describe the past, not the future; a statement of financial position is a snapshot on one day.
- **Need comparisons** — a single ratio means little without trends, industry averages and competitor data; different industries have different norms (supermarkets operate with acid test ratios well below 1).
- **Window dressing** — accounts can be presented favourably (timing of sales, asset revaluations, sale and leaseback before the year end).
- **Different accounting policies** (depreciation, inventory valuation) make comparisons between firms unreliable.
- **Ignore qualitative factors** — brand strength, staff skills and morale, customer loyalty, the quality of management, the state of the market.
- **Inflation** distorts comparisons over time.
- **External factors** — a poor ROCE may reflect a recession rather than poor management.

Exam Tip: Use Edexcel's exact formulae: **capital employed = non-current liabilities + total equity**, and ROCE uses **operating** profit (not gross profit or profit for the year). In the June 2024 Paper 2 ROCE question (4 marks: Knowledge 1, Application 3), marks were awarded for the formula, calculating operating profit, calculating capital employed, and the final percentage — and an answer without the % sign lost a mark. Always add the % sign or “:1” as appropriate.

3. Human resources (3.5.3)

Calculating HR performance measures

Measure	Formula	Worked example	Result
---------	---------	----------------	--------

Labour productivity	Output per period ÷ number of employees	60,000 units a month ÷ 240 workers	250 units per worker per month
Labour turnover	Number of staff leaving ÷ average number of staff employed × 100	30 leavers; staff 230 at start and 250 at end, so average = $(230 + 250) \div 2 = 240$; $30 \div 240 \times 100$	12.5%
Retention rate	Number of employees employed for the whole period (e.g. still employed after one year) ÷ number employed at the start of the period × 100	200 employed on 1 January; 176 of them still employed on 31 December; $176 \div 200 \times 100$	88%
Absenteeism	Number of staff days lost to absence ÷ total number of possible working days × 100	240 staff × 230 working days = 55,200 possible days; 2,208 days lost; $2,208 \div 55,200 \times 100$	4.0%

Interpreting the measures

- **Labour productivity** — higher productivity lowers labour cost per unit, making the firm more cost-competitive. Rising productivity can come from better technology, training or motivation. Beware: productivity measures quantity, not quality; and in services output is harder to measure. The UK's weak productivity growth since 2008 is a long-standing national concern.
- **Labour turnover** — some turnover is healthy (new ideas, removes poor performers, allows restructuring). High turnover means recruitment and training costs, lost skills and knowledge, lower morale and service quality. It is naturally high in hospitality and retail and low in the professions, so compare with the industry.
- **Retention** — the flip side of turnover; a high retention rate among experienced staff protects knowledge and customer relationships. Retention can be high overall while key staff are leaving, so look at who leaves.
- **Absenteeism** — high absence raises costs (overtime, agency staff, sick pay), disrupts production and may signal low morale, poor working conditions or stress. The CIPD's 2023

survey reported average UK absence of 7.8 days per employee per year, the highest in over a decade.

HR strategies to increase productivity and retention and to reduce turnover and absenteeism

Strategy	How it works	Limitations	Example
Financial rewards	Competitive pay, performance-related pay, bonuses, profit-sharing, attendance bonuses — link reward to effort and give staff a reason to stay (Taylor's view of motivation, from 1.4)	Costly; effects may be short-lived (Herzberg: pay is a hygiene factor); can encourage quantity over quality	Supermarkets raising pay above the National Living Wage to compete for staff
Employee share ownership	Staff own shares (share schemes, Sharesave, employee ownership trusts) so they benefit from the firm's success — aligns interests with shareholders, encourages long-term commitment	Value can fall; small holdings may not change behaviour; dilutes existing shareholders	The John Lewis Partnership is owned in trust for its employees ("Partners"); Richer Sounds moved into an employee ownership trust in 2019
Consultation strategies	Involving employees in decisions through works councils, staff forums, surveys, trade union negotiation — staff feel valued, useful ideas surface, resistance to change is reduced	Slower decisions; can raise expectations that are not met; consultation without real influence breeds cynicism	Large employers' employee forums; statutory consultation before collective redundancies

Empowerment strategies	Giving staff authority to make decisions, delegation, teamworking, job enrichment — raises motivation (Herzberg's motivators, Maslow's higher needs) and speeds up responses to customers	Needs training and trust; not all staff want responsibility; risk of mistakes and inconsistency	Timpson's "upside-down management": shop colleagues are trusted to set prices and resolve complaints without asking head office
-------------------------------	---	---	---

Exam Tip: The June 2024 Paper 2 12-mark question asked whether financial rewards were the best way to reduce labour turnover. The mark scheme balanced survey data (71% of tech workers leaving for higher pay) against non-financial factors (responsibility, creativity, working conditions) and credited a judgement that used the data. So when the extract gives figures, **quote and compare them** in your evaluation — that is how you reach Level 4's "using quantitative and/or qualitative information".

How Edexcel rewards this topic

- **Knowledge:** the correct formula — worth 1 mark on every 4-mark calculation.
- **Application:** correct figures from the case, correct working, correct units (% or :1), and required decimal places.
- **Analysis:** what the ratio means for this firm — e.g. high gearing → large interest payments → less profit for reinvestment → vulnerable if rates rise.
- **Evaluation:** compare with trends/rivals, question the data (window dressing, one year only), bring in qualitative factors, and decide.

Common mistakes

- Using total liabilities, or current liabilities, in the gearing ratio — it is **non-current** liabilities only.
- Using profit for the year instead of operating profit in ROCE.
- Forgetting to add non-current liabilities to equity when calculating capital employed.

- Dividing leavers by the workforce at the end of the year rather than the *average* number employed.
- Assuming high labour turnover is always bad, or that high gearing is always dangerous.
- Treating an income statement as a snapshot and a balance sheet as covering a period — it is the other way round.

Quick recall

- Income statement: revenue – cost of sales = GP; – other operating expenses = OP; – interest = profit for the year
- Balance sheet: NCA + CA – CL – NCL = net assets = total equity (share capital + retained profit)
- Capital employed = non-current liabilities + total equity
- Gearing = $\text{NCL} \div \text{capital employed} \times 100$ (>50% high)
- ROCE = $\text{operating profit} \div \text{capital employed} \times 100$ (compare with interest rates, rivals, trend)
- Ratio limitations: historical, need comparisons, window dressing, qualitative factors ignored
- Productivity = $\text{output} \div \text{employees}$; turnover = $\text{leavers} \div \text{average staff} \times 100$; retention = $\text{stayers} \div \text{staff at start} \times 100$; absenteeism = $\text{days lost} \div \text{possible days} \times 100$
- HR strategies: financial rewards, employee share ownership, consultation, empowerment